

1.2 OPPORTUNITY COST

MARKING SCHEME

1990/CE/II/01 A	1996/CE/II/01 C	2000/CE/II/53 D	2006/CE/II/02 D (82%)	2013/DSE/I/02 C (74%)
1991/CE/II/02 A	1997/CE/II/02 C	2001/CE/II/01 D	2007/CE/II/02 C (78%)	2014/DSE/I/01 A (32%)
1992/CE/II/03 A	1997/CE/II/03 D	2002/CE/II/04 A (61%)	2008/CE/II/02 D (58%)	2015/DSE/I/02 C (63%)
1993/CE/II/02 D	1997/CE/II/49 C	2003/CE/II/02 C (56%)	2009/CE/II/02 A (63%)	2016/DSE/I/03 D (76%)
1994/CE/II/03 C	1998/CE/II/50 A	2003/CE/II/03 C (52%)	2010/CE/II/02 D (78%)	2017/DSE/I/04 D (44%)
1994/CE/II/14 C	1999/CE/II/50 D	2004/CE/II/02 C (67%)	PP/DSE/II/02 D	2018/DSE/I/03 B (80%)
1995/CE/II/05 C	2000/CE/II/02 C	2005/CE/II/03 C (68%)	2012/DSE/I/02 A (62%)	2019/DSE/I/03 C
2020/DSE/I/10 C	2021/DSE/I/03 A	2021/DSE/I/04 C	2022/DSE/I/2 C	2022/DSE/I/3 C
2023/DSE/II/1 C	2023/DSE/II/2 A	2024/DSE/I/01 C	2025/DSE/I/01 C	

1990/CE/I/(a)(i)

The value of employing a Filipino maid (best alternative use of Mrs Wong's time, e.g. income earned by a lawyer) is larger than the cost of so doing (e.g. payment to the maid). (5)

1990/CE/I/4/(c)(i)

No, because (1)
alternatively Mr Lee can sell these quotas in the market and make money, i.e. the opportunity cost is the sum of money thus forsaken. (3)

1990/CE/I/5/(c)(i)

The following items have not been included in the \$127 billion:

- pollution arising from construction
- loss incurred by private individuals adversely affected by construction
- permanent loss of a countryside view in Lantau
- strain on resources bidding up factor cost to other sectors
- the sacrifice of more valuable alternative projects

(Mark the **FIRST TWO** points only.)

(2@, max: 4)

1991/CE/II/2/(a)

- (i) Opportunity cost is the highest-valued option or the best alternative that has to be forgone. (2)
Occupational mobility is the ease with which a factor moves from one occupation / trade / industry to another. (2)
- (ii) In changing occupation, the opportunity cost of a doctor (in terms of income forgone) can be very high. (2)
The value of taking up a new occupation (i.e. a doctor's earnings in another job) is usually lower than the cost of so doing (i.e. income, satisfaction and social status etc. from being a doctor). (3)

1993/CE/I/5(a)

The cost of the second choice is to give up the first choice. (1)

The cost of the third choice is to give up the first choice. (1)

∴ Both had the same highest-valued option forgone. (2)

(Remark: mere mention of the definition of opportunity cost = max: 1 mark)

1995/CE/I/10(a)(i)

(I) Opportunity cost is the highest-valued option forgone. (2)

(II) Her services, time, or other resources used in the performance had alternative uses
e.g. income forgone from other jobs. (1)

(III) - prestige / increased no. of fans / more popular
- experience gained
- enjoyment in performing the shows
(Mark the **FIRST TWO** points only.) (1@, max: 2)

1996/CE/I/1

(a) The cost decreased / changed, because
the value of the concert (which is the highest-valued option forgone) is lowered / changed. (1)

(b) No change, because
enjoyment in the karaoke lounge is not an option forgone. (1)

OR

the value of the concert (which is the highest-valued option forgone) has not changed. (1)

1997/CE/I/11(b)

The value of the highest-valued option forgone increases. (1)

e.g. the market rental of the premises increases. (2)

1998/CE/I/1

(a) It is the highest-valued option forgone. (2)

(b) Since the science stream is less preferred than the business stream, a change from the option of the business stream to the option of the science stream would lower the opportunity cost. (3)

1999/CE/I/1

Cost decreases, because (1)

value of the noodle (the highest-valued alternative) ↓ (2)

2000/CE/I/10(b)(ii)

(I) Opportunity cost is the highest-valued option forgone. (2)

(II) No, because
the shares of Bank Y bought by Bank X is the chosen option, not the highest-valued option forgone. (1)

OR

the hidden debt only reduces the value of the take over. (2)

2001/CE/I/10(d)

The opportunity cost of gold coin purchase is the value of savings in banks. e.g. the interest return on savings in banks. (2)

A tax on interest reduces / changes the value of savings in banks, (1)

which means the opportunity cost of gold coin purchased is lowered / has changed. (1)

Microeconomics by Topic

I. Basic Concepts

2002/CE/I/10(c)

The cost of depositing money with one bank is the deposit interest that can be earned from other banks (2)

∴ to deposit money into those large (small) banks has a higher (lower) cost. (1)

∴ there will be a flow of deposits from those large banks to those small banks. (1)

(Remark : Mere mentioning of the definition of cost without other elaboration - **NO** marks)

2004/CE/I/2

(a) Opportunity cost is the highest-valued option forgone. (2)

(b) Not necessarily, because (1)
their highest-valued option forgone may not be the same. E.g., they may give up different jobs.

(c) Not necessarily, because (1)
though their monthly salary forgone (= \$30 000) are the same, their teaching-related non-pecuniary returns and other (2)
monetary returns may not be the same.

(In other words, the value of the same job to them may be different.)

2005/CE/I/9

(b) (ii) The opportunity cost increases, because (1)
need to spend more time which has alternative uses (i.e. time cost increases).

OR

fuel cost increases. (1)

(c) No, because (1)
the highest-valued alternative use of the time may be different for different tunnel users. (2)

2006/CE/I/2

(a) Not affected because (1)
it only affects the value of studying law at a university but not the opportunity cost which is the value of studying (1)
medicine at a university.

(b) Affected / decreased because (1)
the value of the highest-valued option forgone, i.e., the value of studying medicine at a university, decreases / changes. (1)

2007/CE/I/10(c)

(i) Yes, because (1)
their time cost of visiting Hong Kong would have changed (increased). (1)

(ii) No, because (1)
their time cost had not changed / it only affects the value of staying 24 more hours in Hong Kong. (1)

2008/CE/I/9(b)(i)

The opportunity cost is the value of depositing money with banks, i.e. the interest returns from bank deposits. (2)

(1) Yes because (1)
the interest return from bank deposits increases. (1)

(2) No because (1)
the tax affects the value of stock market investments but not the cost. (1)

2009/CE/I/1

(a) Opportunity cost is the highest-valued option forgone. (2)

(b) No, because (1)
their alternative use of time may not be the same. (1)

2010/CE/11(c)

- (i) The opportunity cost is the return from investment in property, e.g., rental income or increase in the value of property. If the rental income rises or the value of property increases, the opportunity cost increases. (3)
- (ii) No, because (1)
it only affects the value of investing in shares but not the cost. (1)

2013/DSE/II/9(c)

- No, because (1)
people have different alternative uses of time, their time costs will not be the same. (2)

2014/DSE/II/1

- (a) Yes, because (1)
the reduction in the starting salary of administrative officers would only decrease the value of Serine's chosen option without affecting her highest valued option forgone. (1)
- (b) No, because (1)
government provision of unemployment benefits may increase the value of Serine's 3rd option to a level higher than that of the 2nd option, (1)
the cost of choosing to work as an administrative officer may now change from the value of the 2nd option to that of the 3rd option. (1)

2015/DSE/II/1(b)

- No, because (1)
the time cost of a person taking MOOC may be higher than the time cost of another person taking on campus course plus the course fee; (1)
OR
the former person (MOOC student) may have to spend extra time to access / download the course materials and to communicate with the course instructor or teaching assistant; (2)
OR
the former person may also have to pay for internet connection in order to access the course materials. (2)

2016/DSE/II/1

The full cost of buying the new model includes the price of new model (monetary cost) plus the value of time spent logging in the website. (1)

The resale value of the new model is not a forgone option so the cost of buying the new model does not change when such value falls.

OR
The drop in resale value will lower the (speculators') demand - hence, excess demand - for the new model, reducing the time spent logging in the website and thus the time cost of buying the new model. The cost of buying the new model falls. (2)

2017/DSE/II/1

- (a) No, because (1)
the value of the highest-valued option forgone (i.e., the first option) would drop. (1)
- (b) No, because (1)
the working time in South Korea may be quite long, so that the first option would become less preferred. (1)

2018/DSE/II/1

Full cost = monetary cost + time cost (1)
During holiday periods, although the monetary cost of travelling abroad (including air ticket fares and hotel expenses) is usually higher than that during non-holiday periods, the time cost (e.g., income foregone) may be a lot lower. (1)
If the time-cost saved outweighs the extra monetary cost, then in terms of full cost travelling abroad during holiday periods would be less expensive. (1)

- (a) The opportunity cost will remain unchanged. It is because the height limitation only reduces the value of the reclaimed land but does not affect the highest valued option forgone.

Marks
(2)

- (b) The government needs to spend extra money/resources to compete for the raw materials in the case of shortage so monetary/non-monetary cost will increase and the full cost will increase.

(3)

<HKDSE 2022 Paper 2 – 10f>

- (f) The rise in the average income of professional athletes would increase the value of being a full-time athlete without affecting its opportunity cost (highest-value option forgone).

<HKDSE 2023 Paper II- 11(c)>

- (c) Full cost = time cost + money cost.
The housewife chose to buy at the official ticketing office because her time cost of queuing (i.e. her value of the best alternative use of the queuing time) was smaller than the additional money cost of buying from touts (i.e. the difference between touting price and official price).

(3)

2024/DSE/II/12(c)

- (c) No, because
the offer by Football Academy B makes the second option more attractive / raises the value of the second option.
If the scholarship raises the value of the second option above that of the first option, the opportunity cost of continuing to seek jobs will change (increase) from the value of enrolling full-time in Football Academy A to that of enrolling full-time in Football Academy B.

(1)

(1)

(1)